CORPORATE REPORTING

Suggested Answers
March-April 2025

Answer to the Question# 1:

Consolidated Statement of Financial Positions
As at 31 December 2024

	Dhaka Cycle Ltd. BDT	Dhaka Tires Ltd. BDT	Bangla Cycle Ltd. BDT	Consol Adj BDT	Consolidated BDT
Assets					
Non-Current Assets					
Property, Plant & Equipment	7,591,041,453	1,150,817,498	3,075,979,140	(741,672,504)	11,076,165,587
Investment Property	6,584,159,595	-	13,599,950	-	6,597,759,545
Investment in Shares	2,829,205,325	78,821,548	-	(1,565,000,000)	1,343,026,873
Goodwill	-	-	-	265,552,500	265,552,500
Long Term Loan to subsidiaries	1,911,086,154	-	-	(1,911,086,154)	-
	18,915,492,527	**1,229,639,046**	**3,089,579,090**	**(3,952,206,158)**	**19,282,504,505**
Current Assets					
Inventories	2,195,513,102	222,443,341	504,883,470	(82,500,000)	2,840,339,913
Trade & other receivables	4,849,602,228	34,102,442	261,636,570	-	5,145,341,240
Advance, deposits & pre-payments	3,757,325,260	91,126,290	308,081,280	-	4,156,532,830
Cash & cash equivalents	240,493,810	12,082,708	784,909,710	11,500,000	1,048,986,228
Receivable from related parties	1,252,441,753	996,374,330	386,872,200	(2,635,688,283)	-
	12,295,376,153	**1,356,129,111**	**2,246,383,230**	**(2,699,188,283)**	**13,191,200,211**
Total Assets	**31,210,868,680**	**2,585,768,157**	**5,335,962,320**	**(6,651,394,441)**	**32,473,704,716**
Equity & Liabilities					
Equity					
Share capital (FV @ 10)	1,497,146,067	600,000,000	800,000,000	(1,400,000,000)	1,497,146,067
General Reserves	6,389,023,167	-	-	-	6,389,023,167
Translation reserve			32,996,843	-	32,996,843
Retained earnings	5,974,797,748	338,153,718	63,797,504	(227,572,083)	6,149,176,887
Revaluation Reserve	-	741,672,504	-	(741,672,504)	-
Non-Controlling Interest	-	-	-	234,538,429	234,538,429
	13,860,966,982	**1,679,826,222**	**896,794,347**	**(2,127,206,158)**	**14,302,881,393**
Non-current liabilities					
Long term loan (net of current portion)	5,565,922,850	191,792,428	1,250,000,000	(1,441,792,428)	5,565,922,850
Gratuity Payable	3,715,393,920	40,517,588	4,782,310	-	3,760,693,818
Deferred tax liabilities	195,215,870	20,368,019	-	-	215,583,889
	9,476,532,640	**252,678,035**	**1,254,782,310**	**(1,441,792,428)**	**9,542,200,557**
Current Liabilities					
Long term loan - current portion	2,636,508,260	58,207,572	400,000,000	(458,207,572)	2,636,508,260
Short term loans	2,382,789,508	105,775,591	722,441,720	-	3,211,006,819
Payable to related parties	996,374,330	386,872,140	1,240,941,813	(2,624,188,283)	-
Trade and other payables	1,857,696,960	102,408,597	821,002,130	-	2,781,107,687
	7,873,369,058	**653,263,900**	**3,184,385,663**	**(3,082,395,855)**	**8,628,622,766**
Total Equity & Liabilities	**31,210,868,680**	**2,585,768,157**	**5,335,962,320**	**(6,651,394,441)**	**32,473,704,716**

Consolidated Statement of Profit or Loss & Other Comprehensive Income
For the year ended on 31 December 2024

	Dhaka Cycle	Dhaka Tires	BCL	Consol Adj	Consolidated
	BDT	BDT	BDT	BDT	BDT
Revenue	4,336,019,109	489,357,300	736,044,544	(1,043,614,380)	4,517,806,573
Cost of revenue	(3,237,906,990)	(423,059,849)	(456,347,648)	1,043,614,380	(3,073,700,107)
-PURP	(82,500,000)	-	-	-	(82,500,000)
Gross Profit	**1,015,612,119**	**66,297,451**	**279,696,896**	**-**	**1,316,606,466**
General & Admin Expenses	(224,567,618)	(14,886,342)	(117,767,168)	(2,327,496)	(359,548,624)
Selling & Distribution expenses	(5,866,674)	(16,393,553)	(86,085,248)	-	(108,345,475)
Operating profit	**785,177,827**	**35,017,556**	**75,844,480**	**(2,327,496)**	**893,712,367**
Finance income	138,894,522	1,719,926	-	-	140,614,448
Reversal of Finance income				(11,086,154)	(11,086,154)
Finance cost	(910,355,151)	(18,721,972)	(788,608)	-	(929,865,731)
Profit before tax	**13,717,198**	**18,015,510**	**75,055,872**	**(2,327,496)**	**93,374,930**
Tax expenses	(17,994,175)	(857,881)	(11,258,381)	-	(30,110,437)
Net profit for the year	**(4,276,977)**	**17,157,629**	**63,797,491**	**(2,327,496)**	**63,264,493**
Other comprehensive income:	-	-	-	-	-
Total comprehensive income	**(4,276,977)**	**17,157,629**	**63,797,491**	**(2,327,496)**	**63,264,493**

Workings - 1: Translating BCL Financial Statements in BDT

As BCL's financial statements are presented in Euros, they need to be translated into BDT before consolidation. According to IAS 21, when translating assets and liabilities, the closing exchange rate should be used. On 31 December, the exchange rate for Euro was BDT 130. For revenue and expenses, the spot rate should be used; however, on practical grounds, the average spot rate can be applied. The average spot exchange rate for Euro throughout the year was BDT 128.

Equity should be translated at historical rates. From the provided information, BCL was established on 01 January 2024, when the exchange rate for Euro was BDT 125. Changes in retained earnings should be translated using the average spot rate. Any differences arising from the translation of the statement of financial position should be recognized as a translational reserve.

Based on the requirements of IAS 21 and the provided information, BCL's translated financial statements should adhere to the following:

Statement of Profit or Loss & Other Comprehensive Income

	BCL	Ex Rate	BCL
	Euro		BDT
Revenue	5,750,348	128	736,044,544
Cost of revenue	(3,565,216)	128	(456,347,648)
General & Admin Expenses	(920,056)	128	(117,767,168)

Selling & Distribution expenses	(672,541)	128	(86,085,248)
Finance cost	(6,161)	128	(788,608)
Tax expenses	(87,956)	128	(11,258,381)
Net profit for the year	**(87,956)**		**(11,258,381)**

Translated Statement of Financial Positions

	BCL Euro	**Ex Rate**	**BCL** BDT
Assets			
Property, Plant & Equipment	23,661,378	130	3,075,979,140
Investment Property	104,615	130	13,599,950
Inventories	3,883,719	130	504,883,470
Trade & other receivables	2,012,589	130	261,636,570
Receivable from related parties	2,975,940	130	386,872,200
Advance, deposits & pre-payments	2,369,856	130	308,081,280
Cash & cash equivalents	6,037,767	130	784,909,710
Total Assets	**41,045,864**		**5,335,962,320**
Equity & Liabilities			
Share capital (FV @ 10)	6,400,000	125	800,000,000
Translation Reserve	-		32,996,843
Retained earnings	498,418	128	63,797,504
Long term loan (net of current portion)	9,615,385	130	1,250,000,000*
Gratuity Payable	36,787	130	4,782,310
Long term loan - current portion	3,076,923	130	400,000,000*
Short term loans	5,557,244	130	722,441,720
Payable to related parties	9,545,706	130	1,240,941,813
Trade and other payables	6,315,401	130	821,002,130
Total Equity & Liabilities	**41,045,864**		**5,335,962,320**

- Fractional difference adjusted with translation reserve

Workings 2: Group Structure

- DCL owns 100% shares of BCL and 75% shares of DTL. This indicates that BCL has significant control over both DTL and BCL. Therefore, financial statements of both DTL and BCL will be included in the consolidation process.

Workings 3: Omission of intra-group transactions and balances

- **Long term loans:**
  DCL recognized interest income of BDT 11,086,154 on long term loan to BCL. However, BCL did not recognize the interest expenses. As this is intercompany transactions, this should be omitted. Therefore, Interest income of BDT 11,086,154 should be reversed from DCL accounts.

  Excluding Interest income, long term loan balance at DCL is 1,900,000,000 which is equivalent to long term loan of DTL and BCL (ignoring the difference due to fraction). Therefore, this long-term loan should be omitted from all three entities.

- **Inter-group Receivables and Payables:**
  BCL made payment of BDT 11,500,000 at the year-end which is yet to be received by DCL. This should be adjusted from receivable at DCL with its cash. Remaining balance of inter-group receivables and payables should be omitted in the consolidation process.

- **Inter-group Sales:**
  60% of DTL sales which is BDT 293,614,380 are made to DCL. Entire inventory has been consumed on cycle manufactured and exported by DCL during the year. Therefore, there is no adjustment is required for unrealized profit. Only intergroup revenue and cost of revenue transactions for BDT 293614380 need to be reduced in consolidation adjustment.

  During the year DCL sold Cycle worth BDT 750,000,000 to BCL. Therefore, these sales need to be reversed in consolidation adjustment. Furthermore, as 55% of cycle remains unsold at the year end, unrealized profit

should be removed from DCL and DTL inventory should be reduced with same amount. DCL earned 20% margin on this sale. Therefore, unrealized profit is 750,000,000 *55% * 20% = 82,500,000.

Following entry would be required for this inter group Sales:

Revenue	- DTL	Dr. 293,614,380	
Cost of Sales	- DTL	Cr.	293,614,380
Revenue	- DCL	Dr. 82,500,000	
Cost of Sales	- DCL	Cr.	82,500,000
Cost of Sales	- DCL	Dr. 82,500,000	
Inventory	- DTL	Cr.	82,500,000

Workings 4: Alignment of group policy:

DTL follows revaluation model to measures its property, plant, equipment whereas DCL follows cost model. Therefore, in consolidation process, revaluation model should be reversed back to cost model. Transfer from revaluation reserve to retained earnings due to excess depreciation charged during the year should also be reversed. Following adjustment is required:

Acc. Dep		Dr.	2,327,496
Depreciation/ RE		Cr.	2,327,496
R/E		Dr.	2,327,496
Revaluation reserve	Cr.	2,327,496	
Revaluation reserve	Dr.	744,000,000	
PPE		Cr.	744,000,000

Workings 5: Calculation of net Asset DTL and BCL:

BCL:

Particulars	Balance Sheet Date	Acquisition Date	Post Acquisition
Share Capital	800,000,000	800,000,000	-
Retained Earnings	63,797,504	-	63,797,504
Translation Reserve	32,996,843	-	32,996,843
	896,794,347	**800,000,000**	**96,794,347**
Share of DCL (100%)			96,794,347

DTL:

Particulars	Balance Sheet Date	Acquisition Date	Post Acquisition
Share Capital	600,000,000	600,000,000	-
Retained Earnings	338,153,718	65,930,000	272,223,718
	938,153,718	**665,930,000**	**272,223,718**
Share of DCL (75%)		499,447,500	204,167,789

Workings 6: Consolidation Schedule of P&L

	Dhaka Cycle	Dhaka Tires	BCL	Consol Adj	Consolidated
	BDT	BDT	BDT	BDT	BDT
Revenue	4,336,019,109	489,357,300	736,044,544	(1,043,614,380)	4,517,806,573
Cost of revenue	(3,237,906,990)	(423,059,849)	(456,347,648)	1,043,614,380	(3,073,700,107)
-PURP	(82,500,000)	-	-	-	(82,500,000)
General & Admin Expenses	(224,567,618)	(14,886,342)	(117,767,168)	-	(357,221,128)
Reversal of Depreciation		2,327,496			2,327,496
Selling & Distribution expenses	(5,866,674)	(16,393,553)	(86,085,248)	-	(108,345,475)
Finance income	138,894,522	1,719,926	-	-	140,614,448
Reversal of Finance income	(11,086,154)				(11,086,154)
Finance cost	(910,355,151)	(18,721,972)	(788,608)	-	(929,865,731)
Tax expenses	(17,994,175)	(857,881)	(11,258,381)	-	(30,110,437)
Total comprehensive income	**(15,363,131)**	**19,485,125**	**63,797,491**	**-**	**75,419,485**

Allocation of profit			
Ownership % of DCL	100%	75%	100%
Profit Attribute to DCL	(15,363,131)	14,613,844	63,797,491
Non-controlling interest	-	4,871,281	-

Workings 7: Calculation of Goodwill from DTL in net asset method:

Cost of investment (Consideration transferred)	765,000,000	
Less: Net asset acquired (working-5)		(499,447,500)
Goodwill acquired		**265,552,500**

Workings 8: non-controlling interest:

Net asset of DTL on 30 June 2024 (Working-6)	938,153,718	
Non-controlling percentage		25%
Non-controlling interest		**234,538,429**

Workings 9: Retained Earnings:

Reported retained earnings of DCL	5,974,797,748
Less: PURP	(82,500,000)
Less: Reversal of Finance income	(11,086,154)
Add: Share of retained earnings in DTL (W-5)	204,167,789
Add: Share of retained earnings in BCL (W-5)	63,797,504
Consolidated Retained Earnings	**6,149,176,887**

Answer to the Question# 2:

1. Revenue Recognition under IFRS 15: Revenue from Contracts with Customers Issue:

Adjustment:

- Revenue should be allocated between the product sale, BDT 574 million (650*(750/850)) and the post-sale support service, BDT 76 million (650*(100/850)) in line with IFRS 15. The product sale revenue should be recognized when control of the product is transferred, while the support service should be recognized as revenue over the service period (3 years).

- Journal entry:
    - **Revenue from Sale of Product**: BDT 574 million (recognized immediately).
    - **Deferred Revenue from Support Service**: BDT 76 million (recognized over 3 years).

Impact on Financial Statements:

- **Revenue** will decrease by BDT 76 million (to reflect the deferral of the support service revenue).
- **Net Profit** will be reduced by BDT 76 million, and a corresponding liability (deferred revenue) will be recognized.

2. Depreciation and Revaluation of Non-Current Assets Issue:

Adjustment:

- Depreciation on the building: The building's revalued amount (BDT 4,500 million as of 30 June 2025) should be depreciated over its remaining useful life of 15 years. The depreciation expense will be BDT 300 million (4,500/15).
- Depreciation on plant and equipment: The company should apply depreciation based on the reducing balance method at 10% per annum. The amount of depreciation is BDT 280 (BDT 2800*10%). The value in use and fair value assessments indicate potential impairment for plant and equipment, which needs to be considered.
- Amortization of patent rights: The company should apply amortization using a six-year expected life of patent rights. The amortization expense will be BDT 75 million (450/6).

Journal Entry for Depreciation:

- **Depreciation Expense (Building)**: BDT 300 million.
- **Depreciation Expense (Plant and Equipment)**: BDT 280 million.
- **Amortization Expense (Patent rights):** BDT 75 million.

Impact on Financial Statements:
- **Profit or Loss** will be reduced by the depreciation and amortization expenses.
- **Non-current Assets** (Land and Buildings, Plant and Equipment) will reflect the revaluation and depreciation adjustments.

3. Impairment of Plant and Equipment under IAS 36 Issue:

Adjustment:
- Recoverable amount is the higher of the value in use (BDT 2,375) and fair value less cost to sell (BDT 2,450), which means BDT 2,450.
- Since the recoverable amount (BDT 2,450 million) is lower than the written-down value of plant and equipment 2520 (BDT 2800 million – 280 million), impairment should be recorded to reduce the plant and equipment's carrying value to BDT 2450 million.

Journal Entry for Impairment:
- **Impairment Loss (Plant and Equipment)**: BDT 70 million (2,520 – 2,450).

Impact on Financial Statements:
- **Non-current Assets (Plant and Equipment)** will be reduced by BDT 70 million.
- **Impairment Loss** will be recognized in the **Profit or Loss**.

4. Deferred Tax Liability (IAS 12) Issue:

Adjustment:
- The increase in the deferred tax liability should be recognized as a **deferred tax expense** in the **Profit or Loss**.

Journal Entry for Deferred Tax:
- **Deferred Tax Expense**: Adjust for the increase in the liability (BDT 675 million - BDT 550 million = BDT 125 million).

Impact on Financial Statements:
- **Tax Expense** will increase.
- **Deferred Tax Liability** will reflect the adjustment.

5. Accounting for the Treasury Bond under IFRS 9: Financial Instruments Issue:

Adjustment:
- The Treasury bond should be recorded at amortized cost, with interest income recognized over time using the effective interest rate method.
- The bond's initial cost is BDT 650 million (with a discount of 8%, i.e., BDT 52 million), and the effective yield is 6.8%.

Journal Entry for Bond Purchase:
- **Investment in Treasury Bonds**: BDT 650 million + BDT 7.5 million (purchase expense) = BDT 657.5 million.
- **Amortized Cost Adjustment**: Adjust the carrying value of the bond based on the effective interest rate (6.8%) at BDT 45 million (657.5 million * 6.8%)

Impact on Financial Statements:
- The **Treasury Bonds** asset will be adjusted.
- The **Finance Income** will be recognized according to the effective interest rate.

6. Employee Benefits (IAS 19)

Adjustment:

- The **net defined benefit obligation** should be recorded, and the impact of the change in the discount rate (from 7% to 6%) should be adjusted.

Journal Entry for Employee Benefits:

- **Defined Benefit Obligation**: Adjust for the change in the discount rate (calculation required for the new obligation).

Impact on Financial Statements:

- **Liabilities** (Employee Benefit Obligation) will be adjusted.
- **Other Comprehensive Income** will reflect the actuarial gains/losses and the adjustment due to the change in discount rate.

7. Foreign Currency Translation (IAS 21) Issue:

Adjustment:

- The **exchange rate difference** from the foreign subsidiary should be recognized, and adjustments should be made to reflect the change in the exchange rate (from 1 USD = BDT 110 to 1 USD = BDT 118).
- This will affect the **consolidated financial statements**, as the translation of the subsidiary's financial statements will reflect the updated exchange rate.

Impact on Financial Statements:

- **Other Comprehensive Income** will reflect the foreign exchange gain/loss.
- **Foreign Subsidiary's Assets and Liabilities** will be adjusted based on the new exchange rate.

REVISED FINANCIALS:

Statement of Profit or Loss (Revised)

Particulars	Original (BDT in Million)	Adjustments	Revised (BDT in Million)
Revenue	18,000	(76) (Revenue deferred for service)	17,924
Cost of Sales	(9,000)		(9,000)
Gross Profit	9,000	(100)	**8,924**
Operating Expenses	(3,800)	(725) (Depreciation, amortization & impairment)	(4,525)
Finance Costs	(250)	(45+7.5) (Interest income and reversal of purchase expense)	(197.5)
Net Profit Before Tax	4,950		4,201.5
Provision for Taxation (25%)	(1,237.5)	(4,201.5*25%-26.875) + 26.875 (Deferred tax impact)	1050
Net Profit After Tax	**3,712.5**	(134.375)	**3,151**

Statement of Financial Position (Revised)

Assets:

Particulars	Original (BDT in Million)	Adjustments	Revised (BDT in Million)
Non-current Assets	10,150	- Adjustments for revaluation, depreciation, impairment, and employee benefits	8927.5
- Land and Buildings (Revalued)	4,000	+500 (Revaluation surplus)	4,500
- Plant and Equipment	2,800	- 350 (Impairment loss, Depreciation)	2,450

- Intangible Assets (Patent Rights)	450	-75 (Amortization)	375
- Investment in Equities (Fair Value)	900		900
- Treasury Bonds	650	52.5 (Purchase expenses)	702.5
Current Assets	**3,200**		**3,200**
Other Assets	**4,250**		**4,250**
Total Assets	**16,250**		**16,422.5**
Equity and Liabilities:			
Equity	13,450		13,549
- Share Capital	5,500		5,500
- Retained Earnings	6,700	(199) (Adjusted net profit after tax)	6,799
- Share Premium	1,250		1,250
Non-current Liabilities	**1,350**		**1,350**
- 15% Debenture (2022-2025)	800		800
- Deferred Tax Liability	550	+125 (Deferred tax adjustment)	675
Current Liabilities	**1,450**		**1,523.5**
- Trade Payables	500		500
- Current Tax Liability	950	(73.5) (Adjusted tax provision)	1,023.5
Total Equity and Liabilities	**16,250**		**16,422.5**

Answer to the Question# 3(a) (i):

Cash flow ratios:

CASH ROCE	2024		2023
(Cash return ÷ Capital employed) x 100			
2024: (869 ÷ (7,152 + 1,500 –3,742)) x 100	17.7%		
2023: ((882 + 55) ÷ (4,872 +1,000-910)) x 100			18.9%
(Cash from operations ÷ Profit from operations) x 100			
2024: (869 ÷ (2,293 + 165)) x 100	35.4%		
2023: (882 ÷ (162 + 102 - 55)) x 100			422.0%
Cash interest cover			
Cash return ÷ Interest paid			
2024: (869 ÷ 165)	5.3 times		
2023: (882 + 55) ÷ 102			9.2 times

Commentary:

- The slight fall in the cash Return on Capital Employed (ROCE) from 18.9% to 17.7% indicates a decline in the company's efficiency. This is confirmed by a more dramatic fall in the net asset turnover from 0.63 (calculated as 3,102 / (4,872 + 1,000 – 910)) to 0.45 (calculated as 2,201 / (7,152 + 1,500 – 3,742)).
- Although the company appears to have made a much higher profit before tax in 2024 (Tk. 2,293,000) compared with 2023 (Tk. 162,000), this 2024 profit before tax includes a one-off Tk. 1,502,000 profit on disposal of Property, Plant, and Equipment (PPE).
- This trend is further illustrated by the decline in the ratio of cash from operations to profit from operations, which has fallen from 422% to 35.4%. The quality of ZN Ltd's profits is clearly deteriorating.

- Cash interest cover has fallen from 9.2 to 5.3. This is partly due to a slight decrease in cash return (from Tk. 937,000 to Tk. 869,000) but primarily because of the increase in interest paid from Tk. 102,000 in 2023 to Tk. 165,000 in 2024.
- Interest paid has increased by 62% over the year, yet borrowings have increased by only 50%. This discrepancy may suggest that the company is now compelled to pay higher interest rates to compensate lenders for increased risk, possibly due to shorter-term or unsecured borrowings.
- The disposal of stores, which resulted in a profit of Tk. 1,502,000 (presumably due to low carrying amounts and properties held for some years), might indicate the presence of a well-considered restructuring plan that could save the company. However, this seems unlikely, as the company's interpretation of fashion trends is probably equally well or badly received regardless of its store locations.
- The sale of the stores, therefore, appears to be a short-term measure to boost the company's cash resources. Whether this will benefit the company in 2025 and beyond depends on how the proceeds of sale are utilized. If the proceeds are used to acquire a more successful chain of stores or more up-to-date expertise, the company's real profitability could improve.
- Other factors also indicate similar short-term strategies:

    - ❖ Long-term investments have been sold, boosting cash in 2024 by Tk. 32,000 but at the expense of Tk. 55,000 in dividends received. This sale also resulted in a loss of Tk. 101,000, suggesting that the original investments were acquired when stock markets were higher.
    - ❖ The statement of cash flows shows that trade and other payables have risen very substantially during 2024 (and by a lesser amount in 2023). This indicates either an inability to pay suppliers (the cash injection from the sale of stores was close to the year-end, and opening cash was only Tk. 122,000) or an unwillingness to do so. Pressing suppliers for extended credit terms could lead to a loss of goodwill and ultimately a refusal to supply.
    - ❖ No dividends were paid in 2024, indicating that the company's cash resources were low.
    - ❖ Inventories have increased significantly over the year. This may suggest the holding of obsolete inventories that should be written down.

- Overall, the company appears to be struggling for long-term survival, despite the substantial cash balances. Investors should be looking for a change in leadership within the design department to guide the company forward with a smaller number of stores.

Answer to the Question# 3(a) (ii):

Pressure to improve the figures

There are several short-term devices that can improve short-term performance and/or financial position, many of which could have been used at ZN Ltd.

- A company could 'window-dress' its cash position by taking out borrowings just before the year-end, which it then repays early in the next accounting period.
- The sale of assets (as seen here, with the disposal of stores) just before the year-end will improve the cash position in the short term. However, the impact of selling any profit-generating assets will not have a detrimental effect on profits until the following year.
- Borrowings taken out close to the year-end will not impact interest payable and profit until the following period.
- In areas where management must make judgments, such as the level of inventory, the recoverability of receivables, or the level of impairments in respect of tangible or intangible assets, it is always possible for an unscrupulous manager to justify lower write-offs than are truly needed.
- The timing of payments to suppliers can improve the trade payables payment period.

- Sales may be made in the last few weeks of the year, but no provision might be made for returns (a provision that should be made at ZN Ltd if it allows customers to return items for refunds, as many fashion stores do).

Actions

In response to such pressures, the financial controller should:

- consider his own professional position and the ethics of the situation;
- outline the issues to the operational directors and propose solutions that comply with laws and standards; and
- contact the ethical helplines maintained by the professional bodies.

Answer to the Question# 3(b) (i):

Free Asset from Pomelo:

Orange received a free asset from Pomelo, which was unutilized at another Pomelo subsidiary. Orange recognized these assets at a nominal value of BDT 1 and reported total income of BDT 100. Although these assets had a written-down value of BDT 18,000 each, Orange should recognize these free assets at their fair market value, which is BDT 25,000, and which has a remaining useful life of 5 years. Therefore, Orange should update the asset cost in the register to BDT 25,000 and establish a useful life of 5 years. It should charge depreciation for 5 years on the new value from the date of capitalization. As these assets were received from the parent company, Orange should consider them an equity contribution by Pomelo.

Orange should post following entry to make appropriate corrections:

Machines cost	Dr.	2,499,900	
Other Income	Dr	100	
Equity Contribution	Cr.		2,500,000

Answer to the Question# 3(b) (ii):

Pushdown accounting and goodwill:

Pushdown accounting is not permitted under IFRS. According to IFRS 3 *Business Combinations*, Purchase Price Allocation is performed solely on the acquirer's consolidated books of accounts. Similarly, no goodwill is recognized in the books of the acquiree. Therefore, no adjustment or entry should be recognized in Orange's books of account in relation to pushdown accounting and goodwill, as instructed by Pomelo.

Answer to the Question# 3(b) (iii):

Unused inventory:

Because these inventories have not been used in last 5 years and Orange estimates only 15% in next few years. Therefore rest 85% need to be write off or allowance need to be created for this. So following entry need to be passed.

Inventory write-off expense	Dr. 637,500		
Allowance for inventory		Cr.	637,500
(750,000 x 85%) = 637,500			

Answer to the Question# 4(a):

Climate related risks:

Based on the provided information, Green Eco Resort is exposed to following climate related risks:

- As Green Eco Resort is in a lowland area, it is prone to flooding and waterlogging during seasonal rains. Business operation and revenue earning activities are interrupted due to waterlogging and flooding.
- Extreme summer heat leads to low occupancy rates, impacting revenue generation and operational sustainability.

Audit Implications:

- ***Going Concern Risk:***
  Declining occupancy rates and revenue volatility may cast doubt on the Resort's ability to continue as a going concern. Auditor must evaluate management's going concern assessment.
- ***Asset Impairment Risk:***
  Property, plant, and equipment (PPE), Including the newly constructed annex building, may be impaired if assets cannot generate sufficient future cash flows.
- ***Revenue Recognition Risk:***
  Seasonal impacts may cause irregular revenue patterns, requiring close analysis of revenue trends. Green may recognize advance from customers without actually serving the customers when business is interrupted due to water logging & sudden flood at the resort.
- ***Insurance and Contingent Losses:***
  Auditor should verify insurance coverage for flood damage and assess any potential liabilities.
- ***Disclosure Requirements:***
  Auditor must ensure appropriate climate-related risks and uncertainties are disclosed in the financial statements in line with IFRS.

Answer to the Question# 4(b):

Ethical Threats and safeguards to be taken:

- ***Familiarity Threat:***
  Mr. Majumder has been serving as engagement partner for last 10 years. This long association creates a risk of losing professional skepticism.

  Safeguards:
  - Rotate the engagement partner as required by professional standards (e.g., every 7 years under IESBA Code for listed entities or earlier if deemed necessary).
  - Appoint an independent Engagement Quality Control Reviewer (EQCR) to review critical judgments and key audit areas.
  - Involve a second partner or senior auditor not involved in the engagement to perform an objective review before issuance of audit report.
- ***Advocacy Threat:***
  Recommending Ms. Islam for the Head of Finance position may impair perceived independence.

  Safeguards:
  - Disclose the advocacy threat to those charged with governance (e.g., Board or Audit Committee) and document the communication.
  - Implement strict separation between advisory and audit services teams to ensure no influence over management decision-making.
  - Evaluate the threat and, if necessary, consider whether to continue or resign from the audit engagement to preserve independence.
- ***Familiarity Threat:***

As firm's former employee joins Green as head of finance, it might create familiarity threat for the audit team. They might be considerate to ward former colleague and loose professional skepticism.

Safeguards:

- Ensure no audit team member with close personal relationships (e.g., recent supervisors, close colleagues) is assigned to the engagement.
- Conduct a "cooling-off" period assessment; if Ms. Islam was involved in the audit or financial reporting during her time at the firm, more stringent safeguards (like changing the audit team) should be applied.
- Provide professional skepticism training or reminders to the audit team about maintaining objectivity when auditing areas under Ms. Islam's responsibility.

Answer to the Question# 4(c):

1. **Misstatement of revenue and theft of cash due to high volume of cash transactions (Fraud Risk).**

Assertions Impacted:

- **Completeness** (risk of underreporting revenue)
- **Accuracy** (risk of recording wrong amounts)

Assessment:

- **Likelihood:** High
- **Impact:** High

Audit Procedures:

- Perform detailed cash sales reconciliation between daily sales reports, cash collections, and bank deposits.
- Conduct surprise cash counts at different times during the audit.
- Review controls over cash handling and segregation of duties between cash collection and recording.
- Perform substantive analytical procedures comparing revenue trends with occupancy rates and average room/meal prices.
- Test samples of cash receipts to ensure all transactions are properly recorded and deposited.
- Review journal entries and adjustments related to cash and revenue accounts for unusual transactions.

2. **Potential fraud by marketing team in financial negotiation with influencer and corporate clients (Fraud Risk).**

Assertions Impacted:

- **Valuation (**intentional misstatement in agreed rates**)**
- **Completeness (**failure to record full transactions with influencer & clients**)**

Assessment:

- **Likelihood: High**
- **Impact: High**

Audit Procedures:

- Obtain and inspect contracts/agreements with influencers and corporate clients to verify terms and payment obligations.
- Review correspondence (emails, memos) related to marketing deals to identify any undisclosed terms or settlements.
- Confirm balances and transaction terms directly with selected influencers and major corporate clients.
- Perform a walkthrough of the marketing and billing process to identify weaknesses that could allow fraud.

- Test sales and marketing expense transactions for proper authorization and agreement with contractual terms.
- Investigate any complaints or disputes filed by influencers or clients for potential misstatements or fraud.

3. Overstatement of Restaurant Inventories Due to Lack of Systematic Tracking (Significant Risk).

Assertions Impacted:
- **Existence (**inventory recorded may not physically exist**)**
- **Valuation (**risk that inventory is overstated due to spoilage**)**

Assessment:
- **Likelihood:** High
- **Impact:** moderate

Audit Procedures:
- Attend inventory counts and perform independent physical verification of perishable items.
- Test a sample of inventory items for condition (e.g., spoilage, expiry) and adjust valuation accordingly.
- Assess management's inventory valuation method for compliance with IAS 2 Inventories.
- Review wastage and spoilage reports, if available, and analyze trends over time.
- Recalculate inventory valuation based on latest procurement invoices and physical condition.
- Inspect storage conditions (refrigerators, storage rooms) to verify adequacy and risks of inventory loss

4. Overstatement of Property, Plant, and Equipment due to outdated land valuation and potential impairment (Significant Risk).

Assertions Impacted:
- **Valuation (**land might not reflect fair value, and may be impaired**)**
- **Completeness (**failure to record impairment losses**)**

Assessment:
- **Likelihood:** High
- **Impact:** High

Audit Procedures:
- Obtain independent third-party valuation reports for land and annex building, if available, or recommend valuation be performed.
- Review impairment indicators for PPE, including occupancy rates, environmental risks (flooding), and cash flow projections.
- Perform recalculations of carrying amounts compared to recoverable amounts under IAS 36 Impairment of Assets.
- Inspect loan documents and bank correspondence for covenants that could indicate impairment risks.
- Verify capitalized costs of the annex building against supporting documents (contracts, invoices, loan agreements).
- Ensure land revaluation surplus (if any) and impairment losses are properly recorded and disclosed.

Answer to the Question# 4(d):

Risk: Misstatement of Revenue and Theft of Cash Due to High Volume of Cash Transactions

Recommended Controls:
- Introduce mandatory use of payment gateways (e.g., card payments, mobile payments) to reduce reliance on cash.
- Implement a point-of-sale (POS) system to automatically record all cash sales and issue receipts.

- Segregate duties among staff — separate employees should handle cash collection, recording, and bank deposits.
- Require daily cash reconciliations by an independent employee and review by management.
- Conduct regular surprise cash counts by internal audit or finance managers.

Risk: Potential Fraud by Marketing Team in Financial Negotiations with Influencers and Corporate Clients

Recommended Controls:

- Require written contracts approved by senior management for all influencer and corporate client agreements.
- Authorize marketing discounts and payments through finance or legal departments instead of marketing alone.
- Implement dual authorization for marketing expenses above a set threshold.
- Perform regular reconciliations between signed contracts and accounting records.
- Establish a whistleblowing mechanism for employees or partners to report irregularities.

Risk: Overstatement of Restaurant Inventories Due to Lack of Systematic Tracking

Recommended Controls:

- Introduce a systematic inventory management system (barcode tagging, batch tracking).
- Conduct regular and documented physical inventory counts, supervised by senior staff.
- Implement inventory spoilage and wastage recording procedures and adjust accounting records accordingly.
- Set expiry date monitoring controls (labelling or stock rotation policy like FIFO - First In, First Out).
- Require dual verification for inventory procurement and usage (e.g., kitchen manager and finance team).

Risk: Overstatement of Property, Plant, and Equipment Due to Outdated Land Valuation and Potential Impairment

Recommended Controls:

- Establish a policy for periodic revaluation of land assets (e.g., every 3–5 years) by independent valuers.
- Perform annual impairment reviews for PPE based on occupancy rates, environmental risks, and financial projections.
- Require management approval and supporting documentation for all capitalization of asset costs.
- Monitor loan covenants and asset performance indicators to detect early signs of asset impairment.

Answer to the Question# 5(a):

Discussion with the finance director Revenue and marketing expense

The trend of falling revenue continued in 2024 from previous years. The problem appears to be worse given that 2024 saw a substantial increase in advertising and marketing expenditure, without which the decline would presumably have been greater. It is important to investigate this situation and the actions taken in response, as the company could be facing significant going concern problems if its products are no longer in demand by the market. However, the revenue fall in 2024 from 2023 is not as significant as the decline from 2022. It is possible that the sales trend observed in 2023 and the beginning of 2024 has been reversed, and the company might be starting to perform well again.

Additional information required:

- Does the additional marketing spend relate to 2024 or was it to encourage sales in the future?
- Were there any sales forecasts produced in connection with the marketing spend?
- Can you provide details of sales month by month to show the revenue pattern throughout the year, particularly in relation to the marketing spend?
- Does management have other plans/intentions with regard to boosting revenue, particularly if the additional marketing spend in 2024 has not produced the expected results?

Gross profit percentage

The gross profit percentage remained stable in 2022 and 2023 at 30% but dropped to 23% in 2024. This decline implies either a mistake in the figures (for example, an expense may have been incorrectly analyzed, there might have been an error in the final inventory count or valuation, or some sales may not have been correctly included in revenue, leading to its fall). Alternatively, it could indicate a change in the cost structure or sales mix.

If revenue is falling and sales are simultaneously becoming less profitable, the problem outlined above could be intensified. Alternatively, a new sales mix might be the directors' approach to addressing the revenue decline. In the long term, increased sales at a lower margin could become the company's new operational reality.

Additional information required:

- The reason for the fall in gross profit percentage
- Analysis of sales by month and product
- Further analysis of cost of sales figures

Receivables

The trade receivables balance has fallen over the three years, which aligns with the decline in revenue. However, it has not fallen at the same rate. This is evidenced by the receivables days calculation, which shows that debts are now taking six more days to collect than they were in 2022. The most significant change occurred in 2024, with the days calculation rising from 63 to 67 days, as opposed to a change from 61 to 63 days in 2023.

The increase could be caused by any of the following factors.

- The marketing event has caused a change in sales patterns/debt collection later in the year (this would be revealed by analysing detailed sales information outlined above).
- Problems with credit control/the company has uncollectible debts on the ledger that should realistically be written off.
- It is possible that a receivables ledger fraud is being carried out.

Credit control problems would constitute a control deficiency that the auditors should note and respond to in their audit. They should assess whether the control issues extend beyond the credit control department, as widespread control problems could significantly affect the risk assessment.

If there is a large amount of old debt on the ledger, writing it off would present a truer picture. Similarly, a fraud being carried out on the ledger would affect the true and fair view. Four days represents approximately 1% of the year, and therefore roughly 1% of revenue (taken on an average basis), making it a material issue.

Further information required:

- Aged analysis of the receivables ledger to identify whether any significant aged debts exist which require writing off
- Remittance advices from customers to assess payment patterns

Inventory, cash and liquidity

The inventory movement assessment in the cost of sales analysis shows that inventory levels at the company have risen consistently over the last three years, resulting in the inventory balance now being Tk. 3 million higher than at the start of 2022. Direct production and purchase costs have remained stable over those years, suggesting that operational levels have not changed to reflect the situation in the market and the falling sales position. This is likely to have had a devastating impact on the company's cash position. The statement of financial position will likely show a significantly illiquid position, characterized by an inventory pile-up and a decrease in the receivables conversion rate. If it also shows a significant cash deficit, then there are immediate concerns about whether the company can continue to finance operations.

Further information required:

- Production levels in 2024 and management's future intentions concerning production
- Bank statements and statements of cash flows and projections
- Inventory sheets from 2024 count
- Inventory valuation sheets from 2024

Other expense items

The other expense items provided in this analysis are immaterial in relation to revenue and therefore the auditor would not focus on them at the planning meeting.

Working notes:

(i) Gross profit margin
2024:
2023:
2022:

(ii) Receivable days
2024:
2023:
2022:

(iii) Payable days
2024:
2023:
2022:

Answer to the Question# 5(b):

If fraud is suspected

The auditor is required to approach their task with an attitude of professional skepticism. Therefore, in theory, the auditor should not approach the task differently if fraud has been suggested than they would have before. The questions arising from the analytical procedures would be the same, and the auditor would still seek to corroborate the answers and then assess whether they are satisfied with the corroborated answers. Given that the auditor is required to be aware that fraud is a possibility whether they have been tipped off or not, the corroboration of the finance director's answers should have been thorough and based on sources other than the finance director (such as third-party invoices and the opinions/experience of other sources in the company) anyway.

If the auditor has been given a tip-off that fraud exists, they should pass on that information to the appropriate level of management. In this case, this would be the audit committee, as the tip-off concerns the finance director.

Answer to the Question# 5(c):

Approach to the audit of receivables

Third-party evidence from customers is a critical source of assurance for the receivables balance, and **direct confirmation** is the standard auditing approach for trade receivables. If TBC's receivables balance has been consistently confirmed in previous years, and fraud still exists, it indicates a potential weakness in past audit procedures.

This could stem from **repetitive testing**, where the largest customers are consistently re-selected, leaving smaller balances vulnerable. This pattern might have allowed the finance director to carry out a limited fraud on these less-tested balances, or perhaps the fraud is a recent development.

Given this, the auditors **must perform a receivables confirmation this year**, as it remains the strongest audit evidence. They need to **increase the sample size** to reflect the heightened risk and **expand their testing to a greater number of customers** than in prior years.

Moreover, the auditors should implement **transaction testing on sales receipts**. This involves tracing transactions through the system to match receipts with corresponding sales ledger invoices.

---The End---